

How competitive markets work	Allocation of resources	• explain what is meant by resource allocation • explain the impact of incentives on the behaviour of economic agents and resource allocation • evaluate the effectiveness of incentives on the behaviour of economic agents and resource allocation • explain how market, planned and mixed economies allocate resources • evaluate the advantages and disadvantages of different types of economy in allocating resources.
	The objectives of economic agents	• explain, using examples, what is meant by maximisation • identify possible objectives of economic agents • evaluate the different objectives of the economic agents in an economy.
	Supply and demand and the interaction of markets	• explain what is meant by a market and sub-markets • explain the relationship between individual and market demand • explain what is meant by derived, joint, composite and competitive demand • explain, with the aid of a diagram, the difference between a movement along the demand curve (extension/contraction) and a shift of the demand curve (increase/decrease) • explain the factors which cause a shift of the demand curve • explain, with the aid of a diagram, what is meant by consumer surplus • explain and calculate how changes in price affect consumer surplus • evaluate the impact of changes in price on consumer surplus • explain the relationship between individual supply and market supply • explain what is meant by joint, composite and competitive supply • explain the relationship between price and quantity supplied

Area of Study	Topic	Learners should be able to:
How competitive markets work	Supply and demand and the interaction of markets	• explain, with the aid of a diagram, the difference between a movement along the supply curve (extension/contraction) and a shift of the supply curve (increase/decrease) • explain the factors which cause a shift of the supply curve • explain, with the aid of a diagram, what is meant by producer surplus • explain and calculate how changes in price affect producer surplus • evaluate the impact of changes in price on producer surplus • explain, with the aid of a diagram, how demand and supply interact to produce market equilibrium in product markets, financial markets and the markets for factors of production • evaluate the impact of changes in demand and/or supply in one market on a related market(s) • explain the causes and consequences of disequilibrium in a market • explain, with the aid of a diagram, how changes in the factors affecting supply and demand will impact on equilibrium price and quantity in moving from an initial equilibrium to a new equilibrium • explain, with the aid of a diagram, why the price and output of some goods and services may be volatile • evaluate, with the aid of a diagram, the usefulness of demand and supply in analysing markets, such as commodities, housing and transport.
	Elasticity	• explain what is meant by elasticity • explain what is meant by price elasticity of demand (PED) • calculate PED using point elasticity • explain, with the aid of a diagram, the different values of PED • explain why price elasticity of demand varies along a straight line demand curve • explain, with the aid of a diagram, the relationship between PED and a firm's total revenue • evaluate the factors which determine the degree of PED • evaluate the effect of PED on the impact of an indirect tax and of a subsidy • explain what is meant by income elasticity of demand (YED) • calculate YED • evaluate the significance of the numerical value and sign of YED • explain the difference in YED of inferior, normal and superior goods • explain what is meant by cross elasticity of demand (XED) • calculate XED

Area of Study	Topic	Learners should be able to:
How competitive markets work	Elasticity	• evaluate the significance of the numerical value and sign of XED • explain the difference in XED of substitute, complementary and non-related goods • explain what is meant by price elasticity of supply (PES) • calculate PES using point elasticity • explain, with the aid of a diagram, the different values of PES • evaluate the factors which determine the degree of price elasticity of supply • evaluate the usefulness of and significance of PED, YED, XED and PES to all economic agents.
	Productive and allocative efficiency	• explain what is meant by productive efficiency • explain what is meant by allocative efficiency • explain what is meant by economic efficiency • evaluate the benefits of productive, allocative and economic efficiency.
	Costs and revenue	• explain what is meant by: ◦ total cost (TC), total fixed cost (TFC), total variable cost (TVC), average cost/average total cost (AC/ATC), average fixed cost (AFC), average variable cost (AVC), marginal cost (MC) • calculate: TC, TFC, TVC, AC (ATC), AFC, AVC, MC.